

CLIENT DIAGNOSTIC BRIEF

Marlow & Finch

Omnichannel Home & Lifestyle Products Retailer

This brief has been prepared for the analytics team ahead of a full diagnostic engagement. It summarizes what is currently known about the business, its sales performance, and the issues leadership wants explained. It is intentionally a starting point, not a conclusion — the analyst's job is to test the hypotheses below against the underlying data, surface what this summary misses, and identify the true root causes.

Engagement Snapshot

Item	Detail
Client	Marlow & Finch
Sector	Retail — home goods, kitchenware & lifestyle products
HQ / Footprint	Denver, CO — 42 owned retail stores + DTC e-commerce + wholesale
Founded	2011 · Private equity-backed since 2021, ~1,150 employees
Engagement type	Sales & margin diagnostic analysis
Deliverable expected	Root-cause findings + prioritized recommendations
Analysis window	Trailing 8 quarters (Q1 FY24 – Q4 FY25)

1. Company Overview

Marlow & Finch designs and sells home, kitchen, and lifestyle products through three channels: 42 company-owned retail stores, a direct-to-consumer e-commerce site, and wholesale accounts with major retail partners (department stores and specialty chains). The company built its brand on mid-premium design-led products and has historically competed on quality and in-store experience rather than price.

Business Model

- Three sales channels run in parallel: Retail stores (own real estate), DTC e-commerce (owned site + marketplaces), and Wholesale (sell-in to third-party retailers).
- Product organized into five categories: Kitchen, Dining, Textiles, Décor, and Storage & Organization.
- Seasonal demand pattern — Q4 (holiday) typically drives 34–38% of annual revenue.
- Inventory is owned by the company for Retail/DTC; Wholesale is sell-in with return/markdown allowances built into contracts.

Organization Snapshot

Function	Headcount	Notes
Store operations	620	42 stores, avg. 4,800 sq ft, mall & lifestyle-center formats
E-commerce & DTC	58	Site, marketplaces, DTC fulfillment ops
Wholesale / Sales	34	Account management for ~310 wholesale doors
Merchandising & Buying	45	Assortment planning, category management
Supply chain & Logistics	112	2 DCs; overseas + domestic sourcing
Marketing	40	Brand, performance marketing, CRM
G&A / Other	241	Finance, People, IT, store development

2. Sales & Margin Performance

Headline sales numbers for the trailing eight quarters are summarized below. Figures are company-reported and have not yet been independently reconciled by the analyst against POS, e-commerce, and wholesale source systems — reconciliation is part of the diagnostic scope.

Quarterly Revenue by Channel (\$ thousands)

Quarter	Retail Stores	DTC E-com	Wholesale	Total Revenue	Gross Margin %
Q1 FY24	\$18,400	\$9,600	\$7,100	\$35,100	52.4%
Q2 FY24	\$17,900	\$10,300	\$6,800	\$35,000	51.8%
Q3 FY24	\$18,200	\$10,900	\$6,600	\$35,700	50.9%
Q4 FY24	\$31,600	\$18,200	\$9,400	\$59,200	49.6%
Q1 FY25	\$16,700	\$10,100	\$6,300	\$33,100	48.7%
Q2 FY25	\$16,100	\$10,600	\$5,900	\$32,600	47.5%
Q3 FY25	\$15,800	\$11,200	\$5,600	\$32,600	46.3%
Q4 FY25	\$27,900	\$19,800	\$7,800	\$55,500	44.9%

Total revenue is down year-over-year in every quarter of FY25 versus FY24, and gross margin has eroded by 7.5 points over two years — the business is selling less and keeping less of each dollar it does sell.

Sales Performance by Channel (Q4 FY25 vs. Q4 FY24)

Channel	Revenue YoY	Units YoY	AOV / Avg. Ticket	Gross Margin %
Retail stores	-11.7%	-15.2%	\$68	41.2%
DTC e-commerce	+8.8%	+3.1%	\$91	54.6%
Wholesale	-17.0%	-19.4%	n/a (case pack)	38.1%

Store Fleet Health (Q4 FY25)

Metric	Q4 FY24	Q4 FY25	Trend
Comparable store sales (comp)	-2.1%	-11.7%	Worsening
Store traffic (visits)	-4.8%	-14.3%	Worsening
Conversion rate (visits to sale)	26.4%	24.1%	Worsening
Average ticket	\$71	\$68	Worsening
Inventory turnover (annualized, x)	3.1x	2.4x	Worsening
Stores below 4-wall profitability	5 of 42	11 of 42	Worsening

3. Category & Inventory Mix

Revenue by Product Category (Q4 FY25)

Category	% of Revenue	YoY Growth	Gross Margin %	Sell-Through %
Kitchen	31%	-6%	48.2%	71%
Dining	18%	-9%	44.0%	58%
Textiles	16%	+4%	51.3%	76%
Décor	22%	-19%	39.5%	44%
Storage & Organization	13%	+11%	52.8%	82%

Inventory Position (Q4 FY25)

Metric	Value	vs. Plan / Prior Year
Total inventory (owned, at cost)	\$41.2M	+22% vs. plan
Aged inventory (>180 days)	\$9.8M (24% of total)	+9 pts vs. prior year
Markdown rate (avg. discount taken)	31%	+8 pts vs. prior year
In-stock rate, top 200 SKUs	81%	-11 pts vs. prior year
Stockout-driven lost sales (est.)	\$2.1M / quarter	New — not tracked before Q3 FY25

Décor is simultaneously the weakest-performing category on growth and margin and carries some of the heaviest aged inventory — while several top-200 SKUs in faster-selling categories (Storage & Organization, Textiles) are stocking out. This points to a possible assortment and allocation mismatch rather than a demand problem across the board.

4. Issues Leadership Has Flagged

The following issues were raised by the CEO, CFO, and VP Merchandising in scoping conversations. They are stated as leadership currently frames them — the analyst should treat each as a hypothesis to be validated, refined, or rejected, not as an established fact.

4.1 — Revenue Decline Across Retail and Wholesale

Retail store revenue is down 11.7% and Wholesale is down 17.0% year-over-year, while DTC is growing (+8.8%). Leadership does not have a clear view on how much of the store/wholesale decline is falling traffic/demand versus in-store execution (conversion, stockouts) versus channel cannibalization by DTC.

4.2 — Margin Erosion

Gross margin has fallen 7.5 points in two years (52.4% to 44.9%), driven by a rising markdown rate (23% to 31%). Merchandising believes this is being forced by overbuying relative to demand, but has not isolated how much is buying-plan error versus input cost inflation versus competitive discounting pressure.

4.3 — Inventory Imbalance

Total inventory is 22% above plan and aged inventory (>180 days) has grown to 24% of the total, even as in-stock rate on the top 200 SKUs has fallen 11 points and stockouts are costing an estimated \$2.1M in lost sales per quarter. The company appears to be simultaneously over- and under-stocked, but by category/SKU this has not been mapped.

4.4 — Store Fleet Underperformance

Comparable store sales fell from -2.1% to -11.7% year-over-year, traffic is down 14.3%, and 11 of 42 stores are now below four-wall profitability, up from 5. Store operations attributes this to "macro foot traffic decline," but this has not been benchmarked against DTC growth in the same trade areas or against comp performance by store cohort (mall vs. lifestyle center, region, format).

4.5 — Décor Category Weakness

Décor is down 19% year-over-year with the lowest margin (39.5%) and sell-through (44%) of any category, yet still receives a comparable share of buy dollars to better-performing categories. It is unclear whether this reflects a genuine demand shift, weak product/design decisions, or pricing that is out of line with the category's positioning.

4.6 — Wholesale Account Attrition

Wholesale revenue decline (-17.0%) has not yet been broken down by account — leadership does not know whether this reflects a small number of large accounts reducing orders or resetting terms, broader softness in partner sell-through, or lost distribution (doors that stopped carrying the brand).

5. Data Available for the Analyst

The following sources have been made available or are in the process of being provisioned. Field-level data dictionaries will be shared separately.

Source	Contents	Grain	Status
POS system	Store transactions, SKU, discount/markdown, staff	Transaction / SKU / store / day	Available
E-commerce platform	Orders, traffic, conversion, cart, returns	Order / session / SKU / day	Available
Wholesale order system	Purchase orders, terms, sell-in by account	Order / account / SKU	Available
Inventory / OMS	On-hand, on-order, aging, allocation by location	SKU / location / day	Available
Merchandise planning (buy plans)	Open-to-buy, forecast vs. actual by category	Category / month	Available, needs cleanup
Store traffic counters	Foot traffic by store	Store / day	Available for 34 of 42 stores
Marketing (paid + CRM)	Channel spend, email/loyalty performance	Campaign / month	Pending access

6. Scope for the Diagnostic Analysis

The goal of this engagement is not to re-report the numbers above, but to explain the movement behind them and identify where the business should intervene first. Suggested lines of inquiry:

Guiding Questions

- Decompose the total revenue decline into traffic, conversion, and ticket effects by channel — which is the largest driver, and since when?
- Map inventory aging and in-stock rate by category/SKU to determine whether the business has a genuine over-buying problem, a misallocation problem, or both.
- Segment comp store performance by format, region, and trade area — does store decline correlate with local DTC growth (cannibalization) or with independent traffic loss?
- Break down the markdown rate by category and reason code (aged inventory, promotional, competitive price-matching) to find the largest controllable driver of margin erosion.
- Analyze Décor's demand curve, price realization, and product mix versus the rest of the portfolio to separate a demand problem from an assortment/pricing problem.
- Break down wholesale revenue decline by account and door count to distinguish lost distribution from reduced sell-through at existing accounts.

Expected Output

- A prioritized set of root causes, each supported by the underlying data rather than the hypotheses above.
- A view of which 2–3 issues account for the majority of the revenue and margin decline, to focus remediation effort.
- Specific, testable recommendations for Merchandising, Store Operations, and Wholesale leadership, with the metrics that would confirm impact.

Note: All company names, figures, and details in this brief are fictional and constructed for analyst practice purposes.